Zacks Report Date: March 29, 2026

# Celestica (CLS)

**$280.22** (Stock Price as of 03/27/2026)

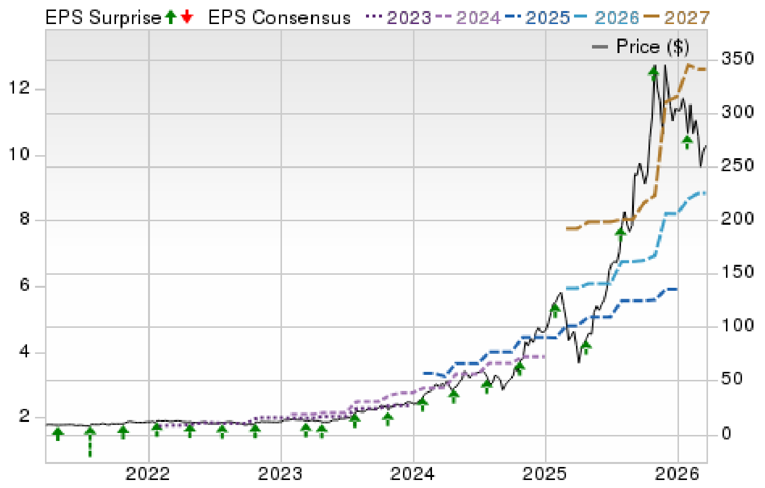
Price Target (6-12 Months): **$330.00**

| | | |
|---|---|---|
| Long Term: 6-12 Months | **Zacks Recommendation:** (Since: 02/05/26) Prior Recommendation: Neutral | **Outperform** |
| Short Term: 1-3 Months | **Zacks Rank:** (1-5) | **2-Buy** |
| | Zacks Style Scores: | VGM: C |
| | Value: D \| Growth: B \| Momentum: F | |

## Summary

Celestica is benefiting from healthy traction in its hardware platform solutions portfolio. The company expects solid demand for 800G switch products, driven by the growing usage of high bandwidth-intensive AI applications. Collaboration with industry leaders such as AMD and Broadcom to expand its AI-native portfolio will likely bring long-term benefits. Its focus on product diversification and increasing its presence in high-value markets is positive. Its strong growth in free cash flow accentuates efficient capital management and implies that the company is well-positioned to invest in growth initiatives, as well as pay debt and dividends. Strong liquidity is a positive. However, stiff competition in the Electronics Manufacturing Services industry is straining margins. The company is exposed to significant customer concentration risk.

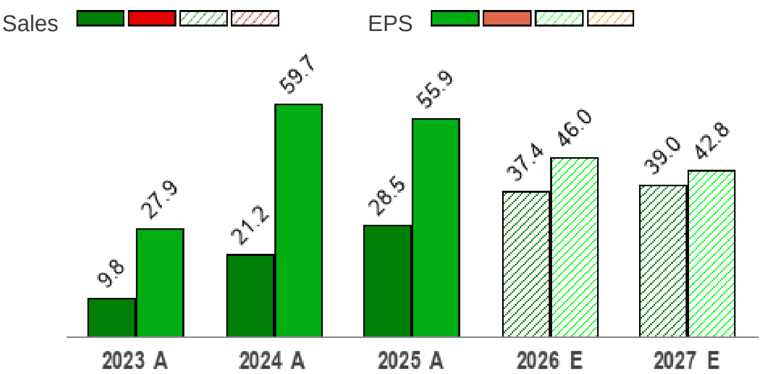
## Price, Consensus & Surprise(1)




## Data Overview

| | |
|---|---|
| 52 Week High-Low | **$363.40 - $58.05** |
| 20 Day Average Volume (sh) | **1,803,472** |
| Market Cap | **$32.2 B** |
| YTD Price Change | **-5.2%** |
| Beta | **1.88** |
| Dividend / Div Yld | **$0.00 / 0.0%** |
| Industry | **Electronics - Manufacturing Services** |
| Zacks Industry Rank | **Top 2% (5 out of 244)** |
| Last EPS Surprise | **8.6%** |
| Last Sales Surprise | **5.5%** |
| EPS F1 Est- 4 week change | **0.0%** |
| Expected Report Date | **04/23/2026** |
| Earnings ESP | **0.0%** |
| P/E TTM | **46.2** |
| P/E F1 | **31.7** |
| PEG F1 | **0.7** |
| P/S TTM | **2.6** |

## Sales and EPS Growth Rates (Y/Y %)(1)




## Sales Estimates (millions of $)(1)

| | Q1 | Q2 | Q3 | Q4 | Annual* |
|---|---|---|---|---|---|
| 2027 | 5,127 E | 5,450 E | 6,179 E | 6,907 E | 23,663 E |
| 2026 | 4,004 E | 3,993 E | 4,320 E | 4,711 E | 17,027 E |
| 2025 | 2,649 A | 2,893 A | 3,194 A | 3,655 A | 12,391 A |

## EPS Estimates(1)

| | Q1 | Q2 | Q3 | Q4 | Annual* |
|---|---|---|---|---|---|
| 2027 | 2.79 E | 2.92 E | 3.32 E | 3.57 E | 12.61 E |
| 2026 | 2.07 E | 2.06 E | 2.28 E | 2.41 E | 8.83 E |
| 2025 | 1.20 A | 1.39 A | 1.58 A | 1.89 A | 6.05 A |

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.
(2) The report's text and the price target are as of 03/24/2026.

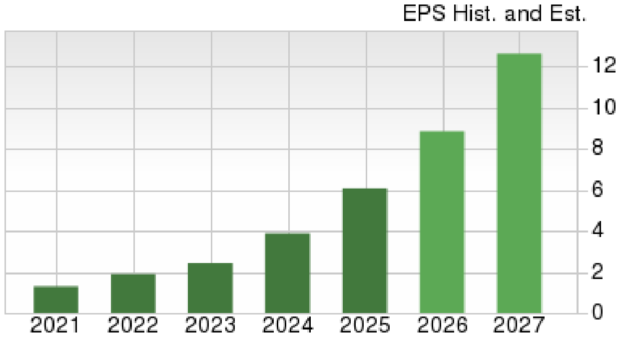
## Overview

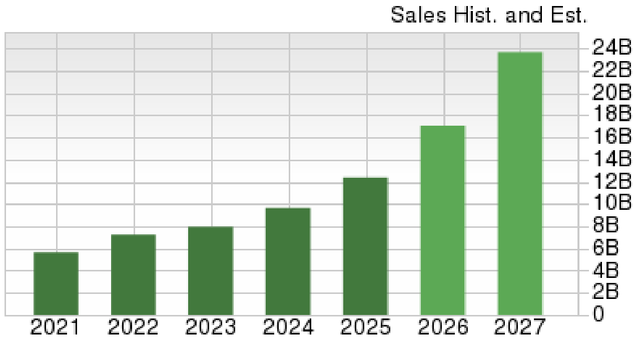
Headquartered in Ontario, Canada, Celestica is one of the largest electronics manufacturing services companies in the world, primarily serving original equipment manufacturers, cloud-based and other service providers and enterprises from several industries. The company offers a comprehensive range of manufacturing and supply-chain solutions related to design and development, new product introduction, engineering services, component sourcing, electronics manufacturing and assembly, testing, systems integration, logistics, product licensing, after-market repair, return and information technology (IT) asset management and disposition services. Celestica's extensive depth and breadth of offerings support a wide variety of customer requirements, from low-volume, high-complexity custom products to high-volume commodity products.

The company has two reporting segments: Advanced Technology Solutions and Connectivity & Cloud Solutions.

Advanced Technology Solutions (21.7% of fourth quarter 2025 net sales): The segment primarily focuses on aerospace and defense (A&D), Industrial, HealthTech, and Capital Equipment businesses, which include semiconductor and display verticals. Major customers in this segment are Applied Materials, Inc., LAM Research and Honeywell.

Connectivity & Cloud Solutions (78.3%): The segment primarily serves communications and enterprise verticals. The Enterprise vertical includes the server and storage business. In this segment, company's major customers are IBM, Dell, Meta and Hewlett-Packard Enterprise.

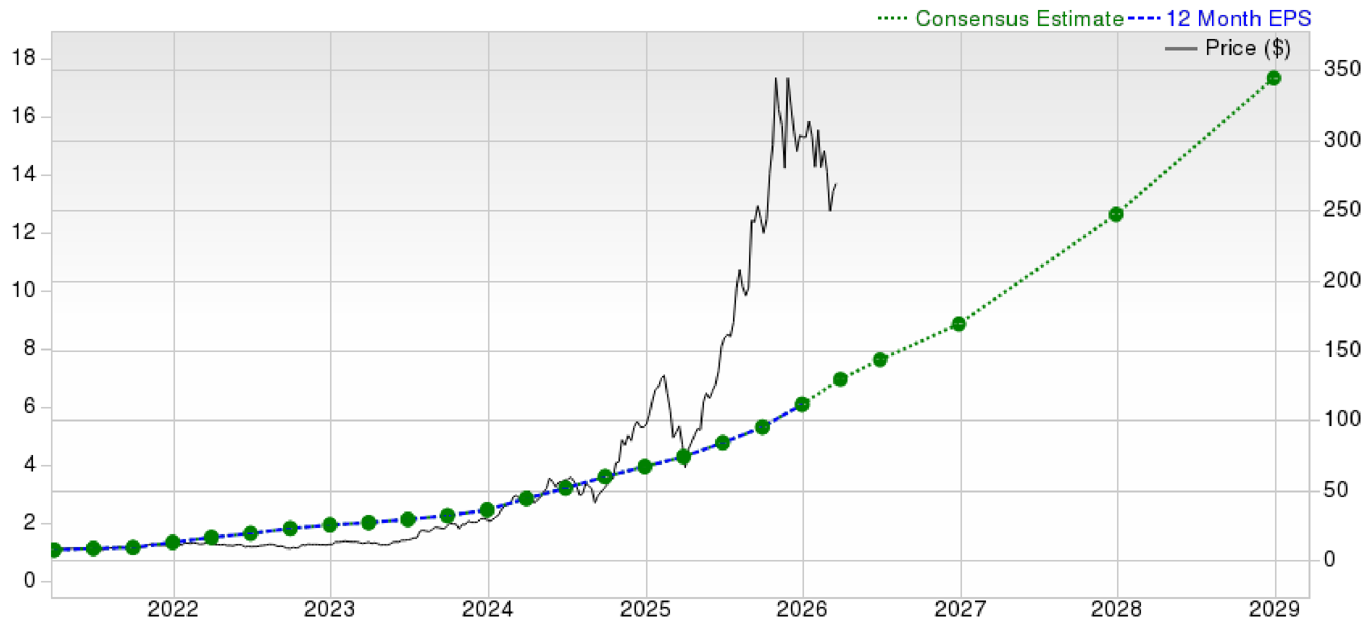



*As of 03/27/2026*

Celestica faces significant competition from Benchmark Electronics, Jabil, Flex, Hon-Hai Precision Industry, Plexus and Sanmina.

The company reported revenues of $9.65 billion in 2024, 70% of which was generated from Asia and 20% from North America.




*As of 03/27/2026*

## Reasons To Buy:

Solid AI traction and healthy demand for networking products are growth drivers. A strong liquidity position and healthy growth in free cash flow are tailwinds.

- **The growing proliferation of AI-based applications and generative AI tools across industries presents a solid growth opportunity for Celestica.** AI investments are driving demand for Celestica's enterprise-level data communications and information processing infrastructure products, such as routers, switches, data center interconnects, edge solutions, and servers and storage-related products. To further capitalize on this trend, Celestica is steadily expanding its offering through innovation and strategic collaboration. Powered by EPYC Embedded 9004 series processors from Advanced Micro Devices, Celestica SC6100 is a next-generation, 2U rackmount all-flash storage controller designed to deliver superior performance for the most demanding enterprise application workloads. The company introduced DS4100, a 1U 800G per port top-of-rack, leaf/spine switch to cater to the high-bandwidth demands of data center networking. The solution is designed with Broadcom's TH4-12.8T switch chipset. The company expects solid demand for its 400G switch products and 800G switch products driven by the growing usage of high bandwidth-intensive AI applications.

- **Celestica's focus on product diversification and increasing its presence in high-value markets is positive.** Its strong research and development foundations allow it to produce high-volume electronic products and highly complex technology infrastructure products for a wide range of industries. The company continuously pursues enhancing its manufacturing, engineering, design, quality and supply-chain capabilities while developing trusted relationships with leading customers. This strategy has augmented its market penetration in each of the markets CLS serves. Its customer base includes several leading manufacturers from multiple industries, including communication, healthcare, aerospace and defense, energy, semiconductor and various cloud-based and other service providers. Such a diverse customer base enhances business resilience by reducing dependence on a single industry and minimizing the effects on financial results from an economic downturn in one specific sector.

- In the fourth quarter of 2025, Celestica generated $250.6 million cash from operations compared with $143.4 million in the year-ago quarter. Free cash flow was $155.9 million, up 62.7% year over year. **This accentuates efficient capital management and implies that the company is well-positioned to invest in growth initiatives, as well as pay debt and dividends.**

- As of Dec 31, 2025, the company had $595.6 million in cash and cash equivalents, with the long-term portion of borrowings under the credit facility and finance lease obligations of $750.5 million. **Celestica's strong liquidity better positions it to navigate economic downturns and capitalize on emerging growth opportunities in the electronics manufacturing service industry.**

- **Backed by robust demand for networking products and growing AI-driven data center investments across industries, Celestica presented a bullish outlook for 2026.** Celestica currently anticipates 2026 revenues to be approximately $17 billion, up from the previous projection of $16 billion. Non-GAAP operating margin is expected to be 7.8%. Non-GAAP adjusted earnings are expected to be $8.75 per share, up from the previous view of $8.2 per share. Non-GAAP free cash flow is estimated to be $500 million.

## Risks(2)

- The Electronics - Manufacturing Services industry is **highly competitive in nature**. Celestica faces stiff competition from industry giants like Foxconn, Jabil, Flex Ltd. and Sanmina Corporation. Apart from this, several smaller companies operating at a regional level also intensify competition. The highly cyclical nature of the semiconductor industry is also a major concern. The company needs to make significant investments in innovation and product development to maintain its competitive edge. This also weighs on the margin.

- Celestica is exposed to **significant customer concentration risk**. The company's largest 10 customers generated approximately 73% of total revenues in fiscal 2024. In the CCS segment, the company derives 28% and 11% of total net sales from two large customers. Given the competitive nature of the industry, any changes in the demand pattern of any of the major customers can have a significant negative impact on the company's financial results.

- Celestica generates lion's share of revenues outside of North America. **This exposes the company to foreign exchange fluctuations. Growing geopolitical volatility worldwide can impact the company's operations**. Celestica relies on China for a part of its manufacturing, design, support and storage operations. China's strained bilateral trade relationship with the United States remains a major concern for the company.

- **Persistent weakness in the ATS segment over the past few quarters is a concern.** Elevated inventory levels in the Industrial end markets are primarily hindering net sales growth in this segment. Although demand has stabilized, macroeconomic challenges remain headwinds.

## Last Earnings Report

**Celestica Surpasses Q4 Earnings Estimates on Higher Revenues**

| FY Quarter Ending | 12/31/2025 |
|---|---|
| Earnings Reporting Date | Jan 28, 2026 |
| Sales Surprise | 5.46% |
| EPS Surprise | 8.62% |
| Quarterly EPS | 1.89 |
| Annual EPS (TTM) | 6.06 |

Celestica recorded strong fourth-quarter 2025 results with adjusted earnings and revenues beating the respective Zacks Consensus Estimate.

This Toronto-based electronics manufacturing service provider reported healthy year-over-year revenues backed by robust expansion in the Connectivity & Cloud Solutions (CCS) segment. Management's emphasis on innovation, product diversification and AI advancements was a key growth driver. Solid growth in free cash flow was a tailwind.

### Net Income

Quarterly net earnings were $267.5 million or $2.31 per share, up from $151.7 million or $1.29 per share in the year-ago quarter. The growth in GAAP earnings was primarily attributable to top-line improvement.

Non-GAAP net earnings increased to $218.8 million or $1.89 per share from $130.2 million or $1.11 per share in the year-ago quarter. The bottom line beat the Zacks Consensus Estimate by 15 cents.

### Revenues

Quarterly revenues were $3.65 billion, up 44% year over year, led by healthy demand in the CCS segment. The top line exceeded management's guidance of $3.325 billion to $3.575 billion and beat the Zacks Consensus Estimate by $189 million.

### Quarterly Segment Results

Total revenues in the Connectivity & Cloud Solutions (CCS) segment improved 64% year over year to $2.86 billion, primarily driven by strong demand in the Communications end market. The segment accounted for 78.3% of the company's total revenues in the fourth quarter.

The Communications end market benefited from solid growth in the hardware platform solutions (HPS) portfolio backed by hyperscale customer demand for networking products, including 400G switches and 800G switches. HPS revenues increased 72% year over year to $1.4 billion. The segment's margin was 8.4% compared with 7.9% in fourth-quarter 2024.

Total revenues in the Advanced Technology Solutions segment declined 1% year over year to $0.8 billion. The segment's margin was 5.3% year over year compared with 4.6% a year ago.

### Cash Flow & Liquidity

In the reported quarter, Celestica generated an operating cash flow of $250.6 million compared with $143.4 million in the year-ago quarter, bringing the respective tallies for 2025 and 2024 to $659.5 million and $473.9 million. Free cash flow was $155.9 million in the fourth quarter compared with $95.8 million in the prior-year quarter.

As of Dec. 31, 2025, the company had $595.6 million in cash and cash equivalents with a long-term debt of $750.5 million compared with respective tallies of $423.3 million and $770.2 million a year ago.

### Guidance Up

For the first quarter of 2026, Celestica expects revenues in the range of $3.85 billion to $4.15 billion. Non-GAAP earnings per share are expected to be in the band of $1.95-$2.15. Management expects the non-GAAP operating margin to be about 7.8%.

With strong quarterly results, Celestica currently anticipates 2026 revenues to be approximately $17 billion, up from the previous projection of $16 billion. Non-GAAP operating margin is expected to be 7.8%. Non-GAAP adjusted earnings are expected to be $8.75 per share, up from the previous view of $8.2 per share. Non-GAAP free cash flow is estimated to be $500 million.

## Recent News

On March 16, 2026, Celestica announced that it has collaborated with AMD to power the new Helios rack-scale artificial intelligence (AI) platform. The partnership brings together Celestica's engineering, manufacturing, and supply chain expertise with AMD's high-performance computing to accelerate large-scale AI deployments.

## Valuation

Celestica's shares are up 194.7% in the trailing 12-month period and up 17.3% in the past six months. Stocks in the Zacks sub-industry are up 108.9% in the past year and up 22.7% in the past six months. Stocks in the Zacks Computer and Technology sector are up 26.8% in the past year but down 1.6% in the past six months.

The S&P 500 Index is up 16.8% in the past year and up 0.6% in the past six months.

The stock is currently trading at 29.62X forward 12-month earnings, which compares to 22.76X for the Zacks sub-industry, 23.41X for the Zacks sector and 21.05X for the S&P 500 Index.

Over the past five years, the stock has traded as high as 57.37X and as low as 4.78X, with a five-year median of 9.97X. Our Outperform recommendation indicates that the stock will perform better than the market. Our $330 price target reflects 11.14X forward 12-month earnings.

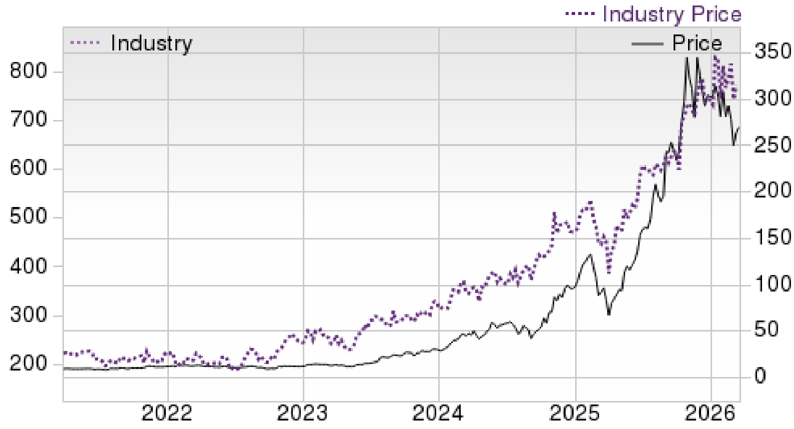
The table below shows summary valuation data for CLS

**Valuation Multiples - CLS**

| | | Stock | Sub-Industry | Sector | S&P 500 |
|---|---|---|---|---|---|
| P/E F12M | Current | 29.62 | 22.76 | 23.41 | 21.05 |
| | 5-Year High | 57.37 | 27.58 | 29.9 | 23.8 |
| | 5-Year Low | 4.78 | 8.04 | 18.67 | 15.73 |
| | 5-Year Median | 9.97 | 11.99 | 26.11 | 21.19 |
| P/B TTM | Current | 14.9 | 10.65 | 9.28 | 7.72 |
| | 5-Year High | 20 | 11.64 | 11.79 | 9.15 |
| | 5-Year Low | 0.63 | 2.03 | 6.65 | 6.59 |
| | 5-Year Median | 1.66 | 3.14 | 9.79 | 8.09 |
| EV/EBITDA TTM | Current | 32.45 | 16.22 | 17.47 | 17.18 |
| | 5-Year High | 45.43 | 18.89 | 23.62 | 22.32 |
| | 5-Year Low | 3.02 | 4.18 | 12.24 | 13.87 |
| | 5-Year Median | 5.87 | 6.1 | 18.42 | 17.91 |

*As of 03/23/2026* *Source: Zacks Investment Research*

## Industry Analysis[1] Zacks Industry Rank: Top 2% (5 out of 244)




## Top Peers [1]

| Company (Ticker) | Rec | Rank |
|---|---|---|
| Plexus Corp. **(PLXS)** | Outperform | 2 |
| Sanmina Corporation **(SANM)** | Outperform | 1 |
| TTM Technologies, In…**(TTMI)** | Outperform | 2 |
| ADTRAN Holdings, Inc…**(ADTN)** | Neutral | 3 |
| Akamai Technologies,…**(AKAM)** | Neutral | 3 |
| Cogent Communication…**(CCOI)** | Neutral | 3 |
| Flex Ltd. **(FLEX)** | Neutral | 2 |
| Jabil, Inc. **(JBL)** | Neutral | 2 |

## Industry Comparison[1] Industry: Electronics - Manufacturing Services

Industry Peers

| | CLS | X Industry | S&P 500 | JBL | PLXS | SANM |
|---|---|---|---|---|---|---|
| **Zacks Recommendation (Long Term)** | Outperform | - | - | Neutral | Outperform | Outperform |
| **Zacks Rank (Short Term)** | 2 | - | - | 2 | 2 | 1 |
| **VGM Score** | C | - | - | B | C | B |
| Market Cap | 32.24 B | 7.15 B | 38.90 B | 27.57 B | 5.33 B | 7.15 B |
| # of Analysts | 4 | 3.5 | 22 | 5 | 3 | 3 |
| Dividend Yield | 0.00% | 0.00% | 1.52% | 0.12% | 0.00% | 0.00% |
| **Value Score** | D | - | - | B | C | B |
| Cash/Price | 0.02 | 0.07 | 0.04 | 0.07 | 0.05 | 0.21 |
| EV/EBITDA | 26.74 | 17.00 | 13.42 | 17.00 | 18.66 | 16.14 |
| PEG Ratio | 0.72 | 0.87 | 1.76 | 1.24 | NA | 0.50 |
| Price/Book (P/B) | 14.54 | 3.60 | 3.29 | 20.44 | 3.60 | 2.69 |
| Price/Cash Flow (P/CF) | 39.13 | 17.32 | 13.72 | 16.87 | 21.09 | 17.32 |
| P/E (F1) | 31.73 | 23.52 | 17.87 | 21.24 | 25.79 | 13.02 |
| Price/Sales (P/S) | 2.60 | 0.84 | 3.01 | 0.84 | 1.29 | 0.77 |
| Earnings Yield | 3.15% | 4.29% | 5.59% | 4.71% | 3.88% | 7.69% |
| Debt/Equity | 0.34 | 0.34 | 0.56 | 2.50 | 0.06 | 0.75 |
| Cash Flow ($/share) | 7.16 | 7.56 | 9.62 | 15.47 | 9.44 | 7.56 |
| **Growth Score** | B | - | - | B | C | B |
| Hist. EPS Growth (3-5 yrs) | 39.72% | 12.00% | 7.51% | 16.24% | 4.20% | 8.33% |
| Proj. EPS Growth (F1/F0) | 45.95% | 42.74% | 9.87% | 26.15% | 3.90% | 66.56% |
| Curr. Cash Flow Growth | 45.19% | 10.08% | 7.92% | -5.21% | 34.38% | 10.08% |
| Hist. Cash Flow Growth (3-5 yrs) | 26.80% | 7.36% | 8.87% | 14.36% | 7.36% | 5.24% |
| Current Ratio | 1.44 | 1.59 | 1.19 | 1.01 | 1.59 | 1.70 |
| Debt/Capital | 25.30% | 25.30% | 38.05% | 71.45% | 5.80% | 42.89% |
| Net Margin | 6.72% | 2.48% | 12.73% | 2.48% | 4.28% | 2.47% |
| Return on Equity | 33.81% | 13.06% | 17.16% | 80.96% | 12.39% | 13.06% |
| Sales/Assets | 1.91 | 1.44 | 0.53 | 1.70 | 1.32 | 1.44 |
| Proj. Sales Growth (F1/F0) | 37.40% | 14.15% | 5.59% | 14.20% | 11.80% | 67.90% |
| **Momentum Score** | D | - | - | A | C | F |
| Daily Price Chg | 2.50% | -0.50% | -1.67% | -1.15% | -0.50% | -0.05% |
| 1 Week Price Chg | 2.14% | 1.52% | -3.60% | 1.19% | 2.23% | -1.87% |
| 4 Week Price Chg | 0.38% | -3.98% | -7.82% | -3.98% | 0.09% | -18.91% |
| 12 Week Price Chg | -5.21% | 14.51% | -6.96% | 14.51% | 35.49% | -12.77% |
| 52 Week Price Chg | 232.05% | 68.38% | 11.87% | 87.30% | 53.22% | 68.38% |
| 20 Day Average Volume | 1,803,472 | 792,799 | 3,196,808 | 1,409,894 | 355,769 | 792,799 |
| (F1) EPS Est 1 week change | 0.00% | 0.00% | 0.00% | 0.00% | 0.00% | 0.00% |
| (F1) EPS Est 4 week change | 0.00% | 0.00% | 0.00% | 6.76% | 0.00% | 0.00% |
| (F1) EPS Est 12 week change | 8.58% | 6.72% | 0.47% | 6.76% | 6.69% | 3.59% |
| (Q1) EPS Est Mthly Chg | 0.00% | 0.00% | 0.00% | 7.86% | 0.00% | 0.00% |

## Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

## Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

## Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

## Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

| | |
|---|---|
| Value Score | D |
| Growth Score | B |
| Momentum Score | F |
| VGM Score | C |

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

## Disclosures

**This report contains independent commentary to be used for informational purposes only. The analysts contributing to this report do not hold any shares of this stock. The analysts contributing to this report do not serve on the board of the company that issued this stock. The EPS and revenue forecasts are the Zacks Consensus estimates, unless otherwise indicated in the report's first-page footnote.** Additionally, the analysts contributing to this report certify that the views expressed herein accurately reflect the analysts' personal views as to the subject securities and issuers. ZIR certifies that no part of the analysts' compensation was, is, or will be, directly or indirectly, related to the specific recommendation or views expressed by the analyst in the report.

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ZIR uses the following rating system for the securities it covers. **Outperform-** ZIR expects that the subject company will outperform the broader U.S. equities markets over the next six to twelve months. **Neutral-** ZIR expects that the company will perform in line with the broader U.S. equities markets over the next six to twelve months. **Underperform-** ZIR expects the company will underperform the broader U.S. equities markets over the next six to twelve months.